ABC Bank Test Outsourcing and Third-Party Risk Policy

Synthetic internal policy for policy gap reviewer testing. This is not a real client policy.

1. Policy objective

ABC Bank maintains this Outsourcing and Third-Party Risk Policy to govern material outsourcing arrangements, service provider oversight and operational resilience expectations.

2. Governance and approval

The Board approves the Outsourcing Policy and the outsourcing risk management framework annually. The Risk Committee receives quarterly reporting on material outsourcing risk.

Each material outsourcing arrangement must have a senior accountable owner from the relevant business function. The owner is responsible for maintaining oversight evidence, management actions and issue logs.

3. Materiality and classification

Business units must identify material outsourced functions before onboarding. Each material arrangement must be classified by criticality, inherent risk rating and business owner.

Classification evidence must be retained in the outsourcing file and refreshed during the annual review cycle.

4. Due diligence before contract signature

Due diligence must be completed before contract signature for material outsourcing arrangements. The assessment must cover financial soundness, information security, business continuity and data location.

The policy does not currently require documented assessment of subcontracting risk as a separate due diligence factor.

5. Outsourcing register

The Third-Party Risk team maintains a central register of material outsourcing arrangements. The register records service provider name, outsourced function, risk rating, business owner, contract start date and scheduled review date.

6. Monitoring

Service provider performance must be monitored quarterly using key performance indicators, incident records and control attestations. Material weaknesses must be reported to the Risk Committee with corrective actions.

The policy does not yet require an annual independent review of material outsourcing controls.

7. Incident management

Business owners must escalate severe outsourcing incidents internally to Operational Risk and Compliance within two business days. External regulatory notification requirements are not defined in this policy.

8. Exit management

Business units should consider exit options during outsourcing planning. A formal tested exit plan is not mandatory under the current policy.